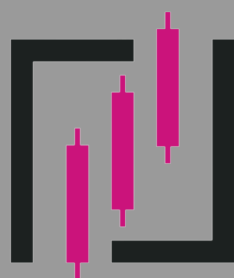


THE TRADING FLOOR



**ICT
WORKBOOK**

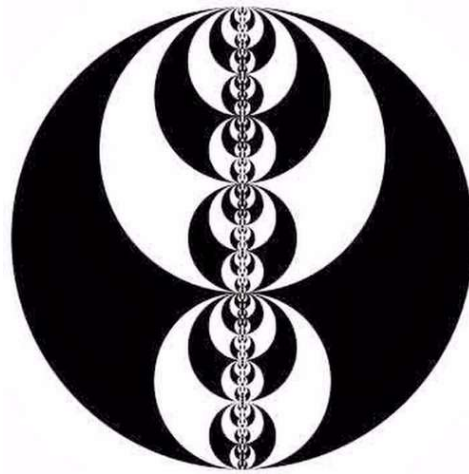
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INNER CIRCLE TRADER (ICT)

INNER CIRCLE TRADER (ICT)



**THE CONCEPTS IN THIS WORKBOOK ARE ATTRIBUTED TO
ICT. YOU CAN FIND HIS VIDEOS ON YOUTUBE AND HIS
DISCUSSIONS ON TWITTER.**

[HTTPS://YOUTUBE.COM/@INNERCIRCLETRADER](https://youtube.com/@innercircletrader)

[HTTPS://TWITTER.COM/I_AM_THE_ICT](https://twitter.com/i_am_the_ict)



**The concepts in this workbook should be applied to the
Indices, Forex and Commodities market.**

ICT TRADING ELEMENTS

CORE CONCEPT ELEMENTS:

- ➔ **Time & Price/Time Of Day**
- ➔ **Higher Timeframe Order Flow**
- ➔ **Market Structure**
- ➔ **Liquidity**
- ➔ **Inefficiency (Fair Value Gap)**

REASONS AND TARGETS:

- ➔ **Order Blocks**
- ➔ **Breaker Blocks**
- ➔ **FVG, VI and Liquidity Void**
- ➔ **Liquidity Pools and Stop Run**
- ➔ **Equilibrium**



This workbook covers each of these elements in detail and provides you with places to test your knowledge of ICT trade concepts.

MARKET MOVEMENT

PRICE WILL DO ONE OF FOUR THINGS:

Expansion

Move toward filling inefficiency (FVG) or taking liquidity.



Retracement

Offers traders the opportunity to participate in the market or add to a position at a better price.



Reversal

Seeking liquidity or retracement on those that have been profitable on previous trend direction.



Consolidation

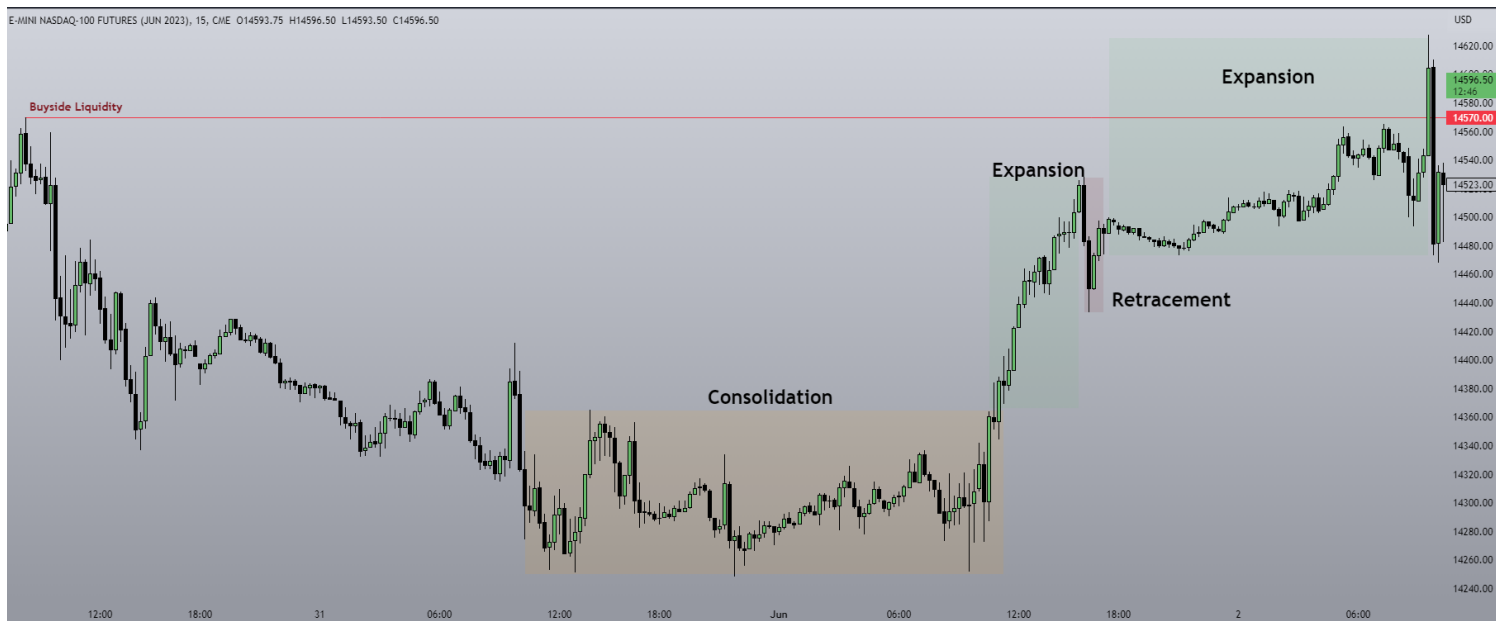
Accumulation of positions ahead of news or reversal in market direction. Common ahead of high impact news like NFP and FOMC.



MARKET MOVEMENT

ALL OF THESE ELEMENTS TOGETHER EXPLAIN HOW THE MARKET MOVES:

Here you see market consolidation. From the consolidation the market breaks upward in an impulsive move (expansion). This is followed by a retracement and then the market moves again in an expansive movement in the same direction.



Consolidation

Expansion

Retracement

MARKET MOVEMENT

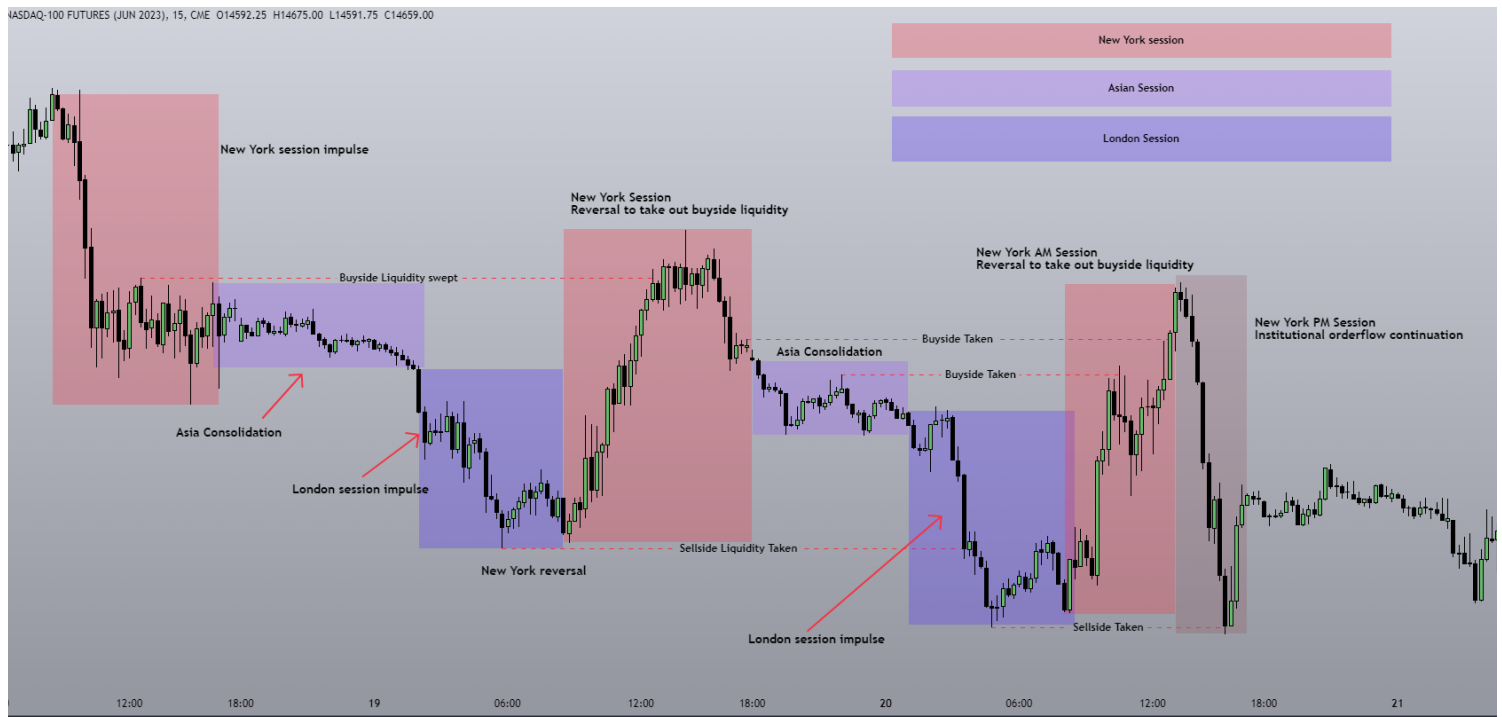
TEST YOUR KNOWLEDGE:

Identify which image shows the market in the expansion, retracement, reversal or consolidation phases.



IN DEPTH PRICE MOVEMENT

COMBINING ALL OF THESE ELEMENTS WITH TIME OF DAY (SESSIONS) GIVES YOU A LARGER VIEW AND EXPLANATION FOR THE MARKETS MOVEMENTS.



Expansion – London open into New York AM continuation

Retracement - New York Lunch (New York PM)

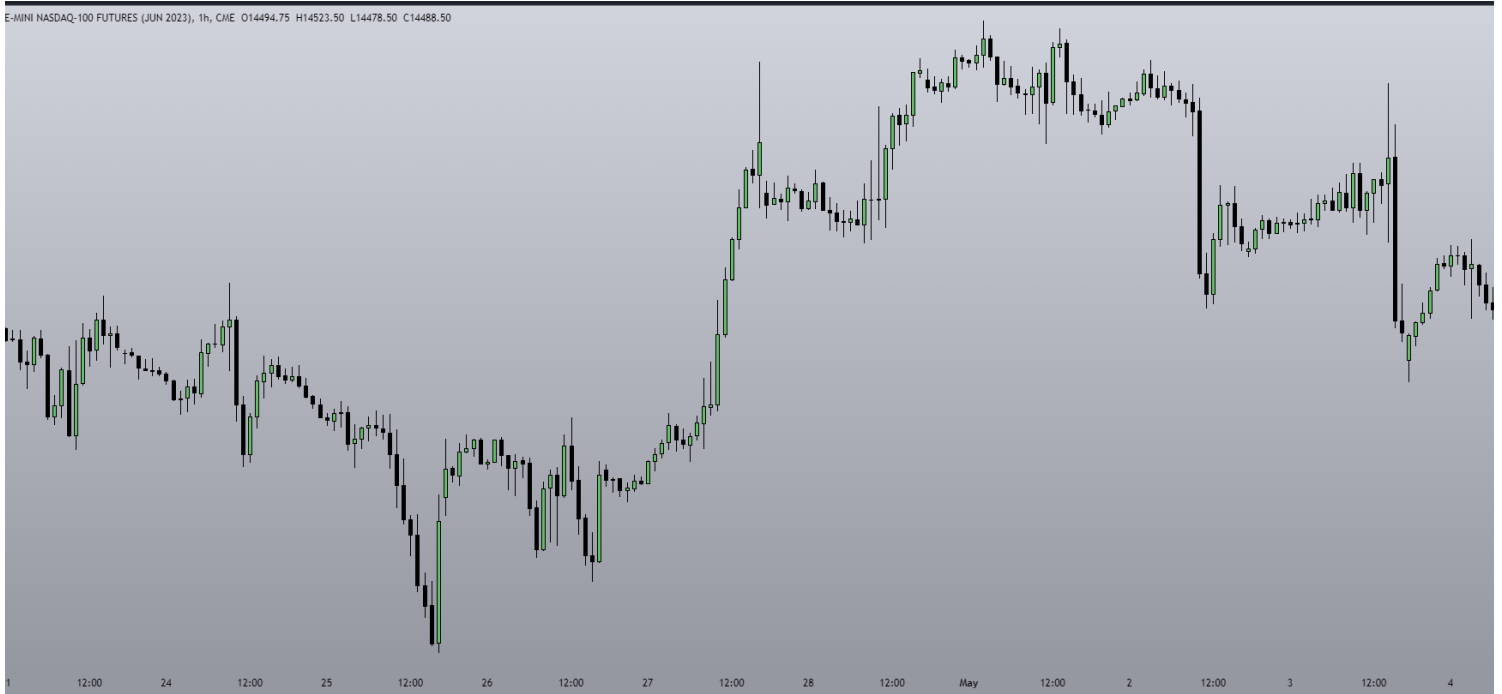
Reversal – London Open Judas Swing

Consolidation – Asian range

IN DEPTH PRICE MOVEMENT

TEST YOUR KNOWLEDGE:

Identify expansion, retracement, reversal or consolidation phases per each session.



TOP DOWN ANALYSIS

CREATE DAILY PRICE ACTION LOGS WITH PRICE CHARTS

Daily Chart: 12 months, but no less than 9 months view

4 Hour Chart: 3 months view

1 Hour Chart: 3 weeks view

15 Minute Chart: 3 - 4 days view

Note These Elements: 

Where price shows a quick movement from a level

Recent highs and lows that haven't been re-tested

Areas on the chart where price left clean high and low

Where day and weekly highs and lows form

The daily high and daily low every trading day



Best Analysis
Timeframes

Scalping: 1H, 15M, 5M, 1M

Day trading: Daily, 4H, 1H, 15M, 5M

Swing Trading: Weekly, Daily, 4H, 1H, 15M

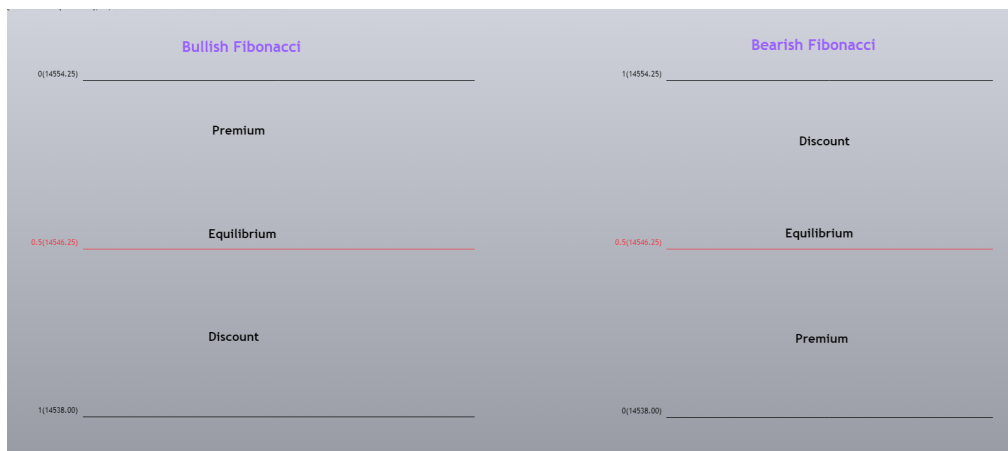
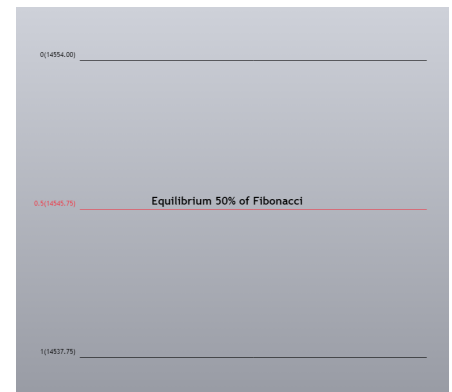
Position Trading: Monthly, Weekly, Daily

EQUILIBRIUM PREMIUM & DISCOUNT

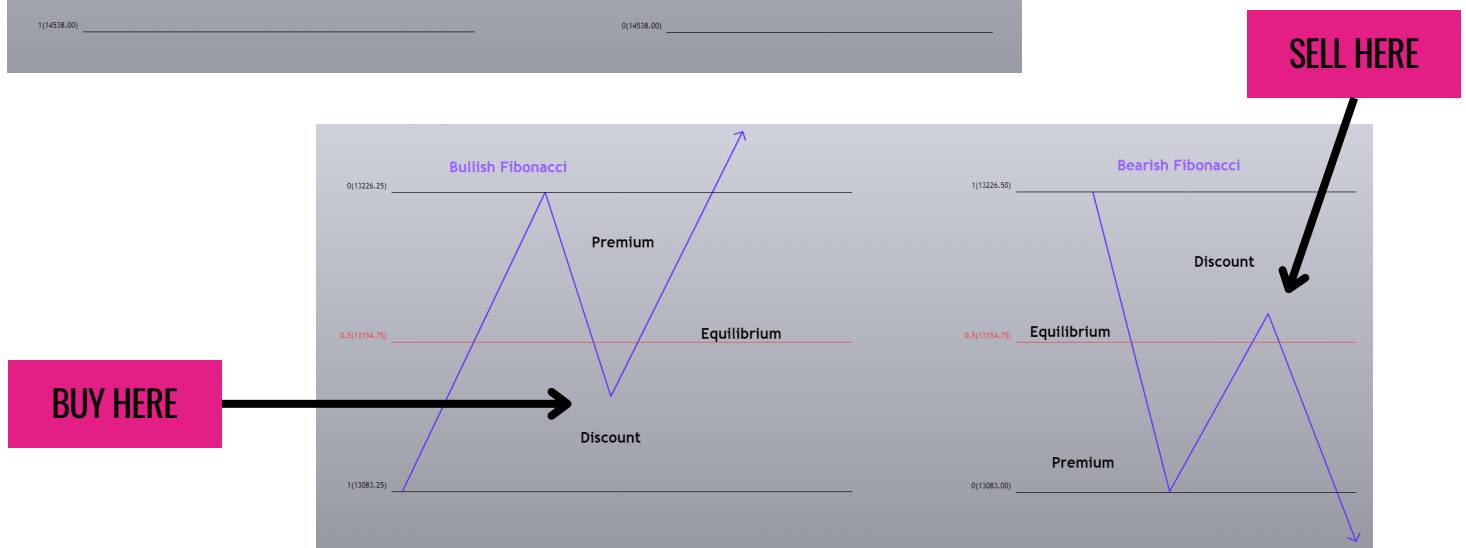
EQUILIBRIUM'S RELATIONSHIP TO PREMIUM & DISCOUNT:

Price moves between premium and discount.
Equilibrium is the 50% level of Fibonacci tool when measuring the movement in price.
Measuring a bearish move - above 50% is premium.
Measuring a bullish move - below 50% is discount.

EQUILIBRIUM



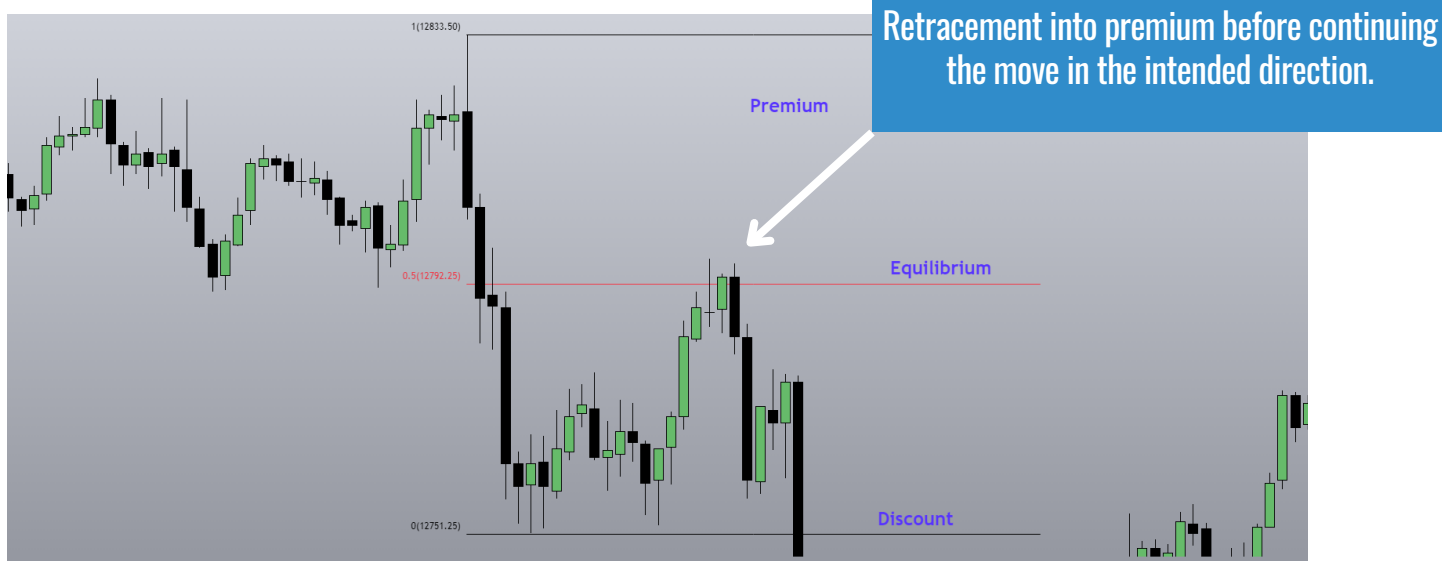
FIBONACCI TOOL USED ON BEARISH VERSUS BULLISH MOVES



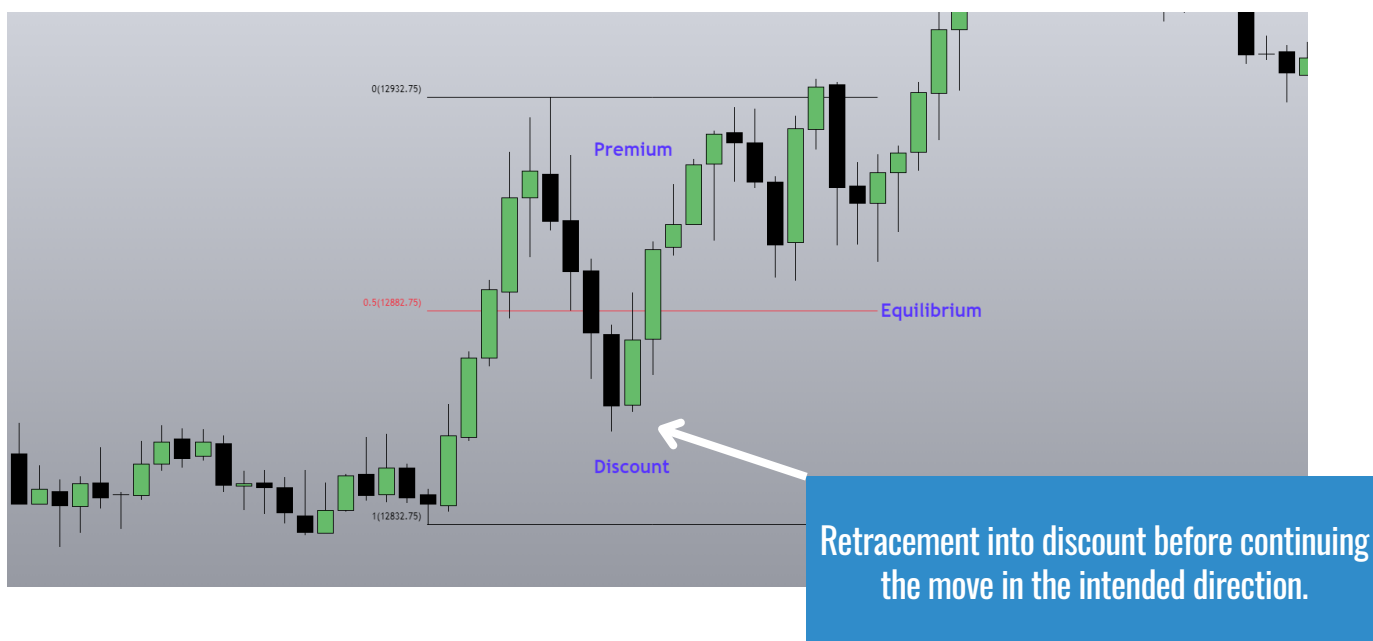
EQUILIBRIUM PREMIUM & DISCOUNT

CHART EXAMPLES OF PRICE MOVEMENT USING THE FIBONACCI TOOL TO IDENTIFY PREMIUM VERSUS DISCOUNT

BEARISH



BULLISH



EQUILIBRIUM PREMIUM & DISCOUNT

TEST YOUR KNOWLEDGE:

Identify the expansive price movement, equilibrium, premium and discount areas.



PD ARRAYS

FAIR VALUE GAP (FVG) - BISI & SIBI, VOLUME IMBALANCE, LIQUIDITY VOID

Fair Value Gap (FVG) - offers fair value for traders to get into the market/trade that is already in motion.

Two types of Fair Value Gap:

BISI - Buyside imbalance
sellside inefficiency

SIBI - Sellside imbalance
buyside inefficiency

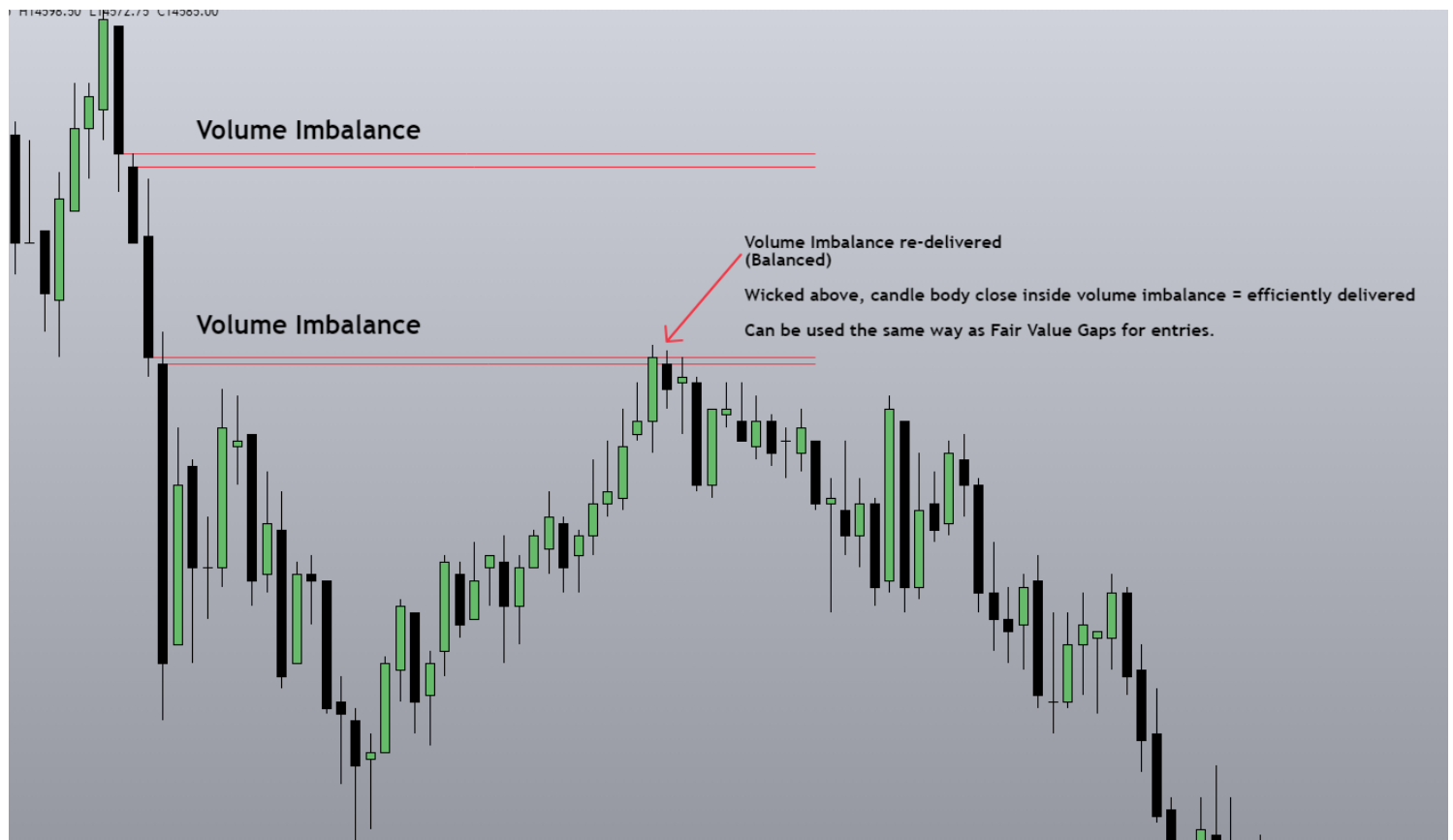


PD ARRAYS

FAIR VALUE GAP (FVG) - BISI & SIBI, VOLUME IMBALANCE, LIQUIDITY VOID

Volume Imbalance - Gap created between 2 candles (close of one to the open of the other). Two candlestick pattern.

Price will want to come to these to offer efficient delivery (similar to fair value gap). It is considered balanced once candle body is laid over it with candle close.



PD ARRAYS

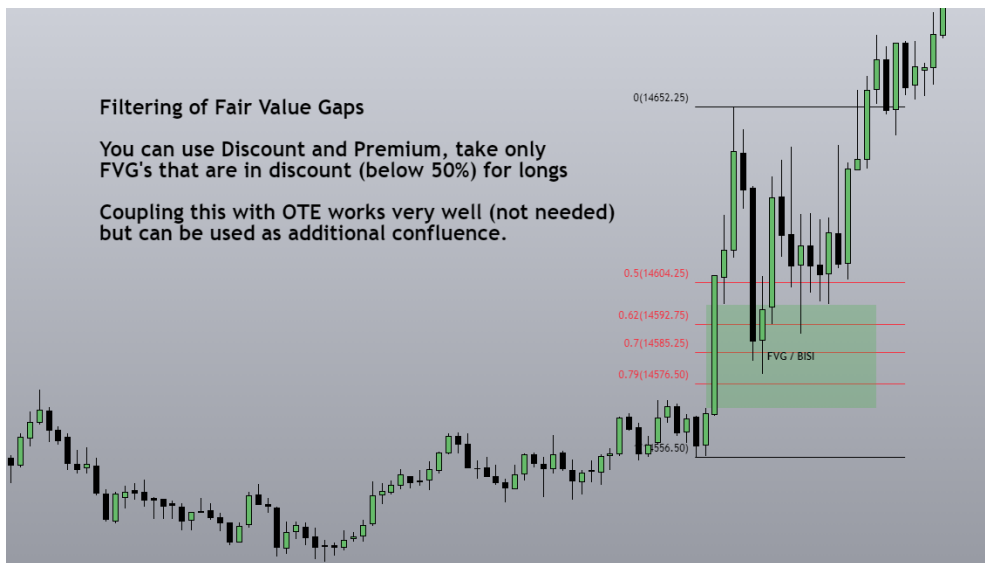
FAIR VALUE GAP (FVG) - BISI & SIBI, VOLUME IMBALANCE, LIQUIDITY VOID

Liquidity Void - Gap between candles that have no wicks/bodies over it.

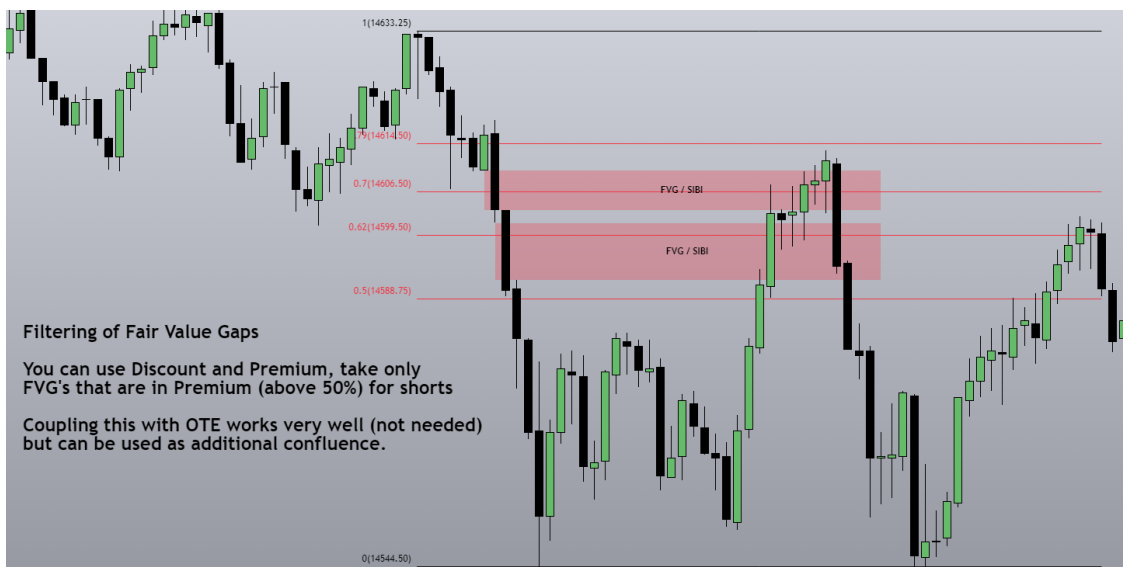


PD ARRAYS

TIP FOR FILTERING FAIR VALUE GAPS (FVG)



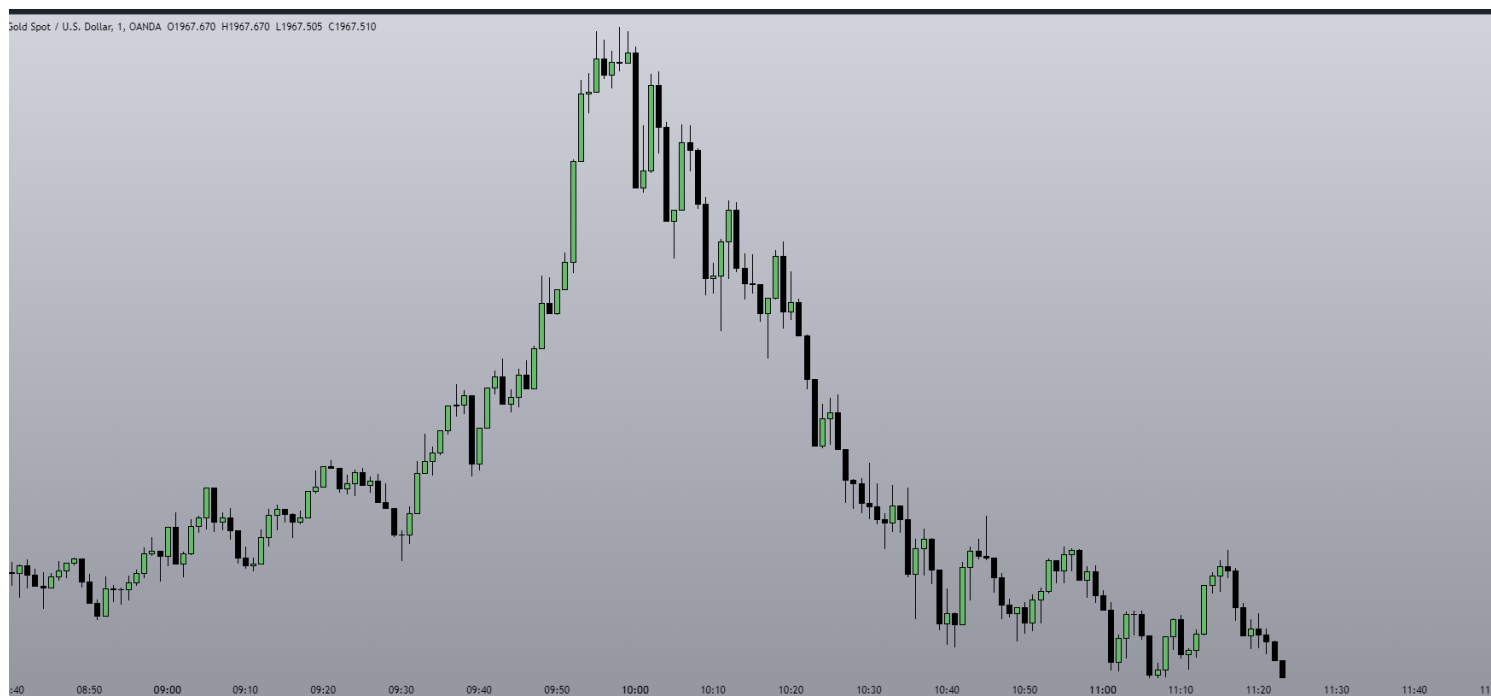
Using the simple premium and discount fibonacci tool allows for best possible price entries. Buying at discount and selling at premium price. This allows for a tighter stop loss and higher RR on your trade. It also makes waiting for setups easier and filters out potentially bad trades and entries.



PD ARRAYS

TEST YOUR KNOWLEDGE:

Identify the Fair Value Gaps (FVG) on the charts below.



PD ARRAYS

TEST YOUR KNOWLEDGE:

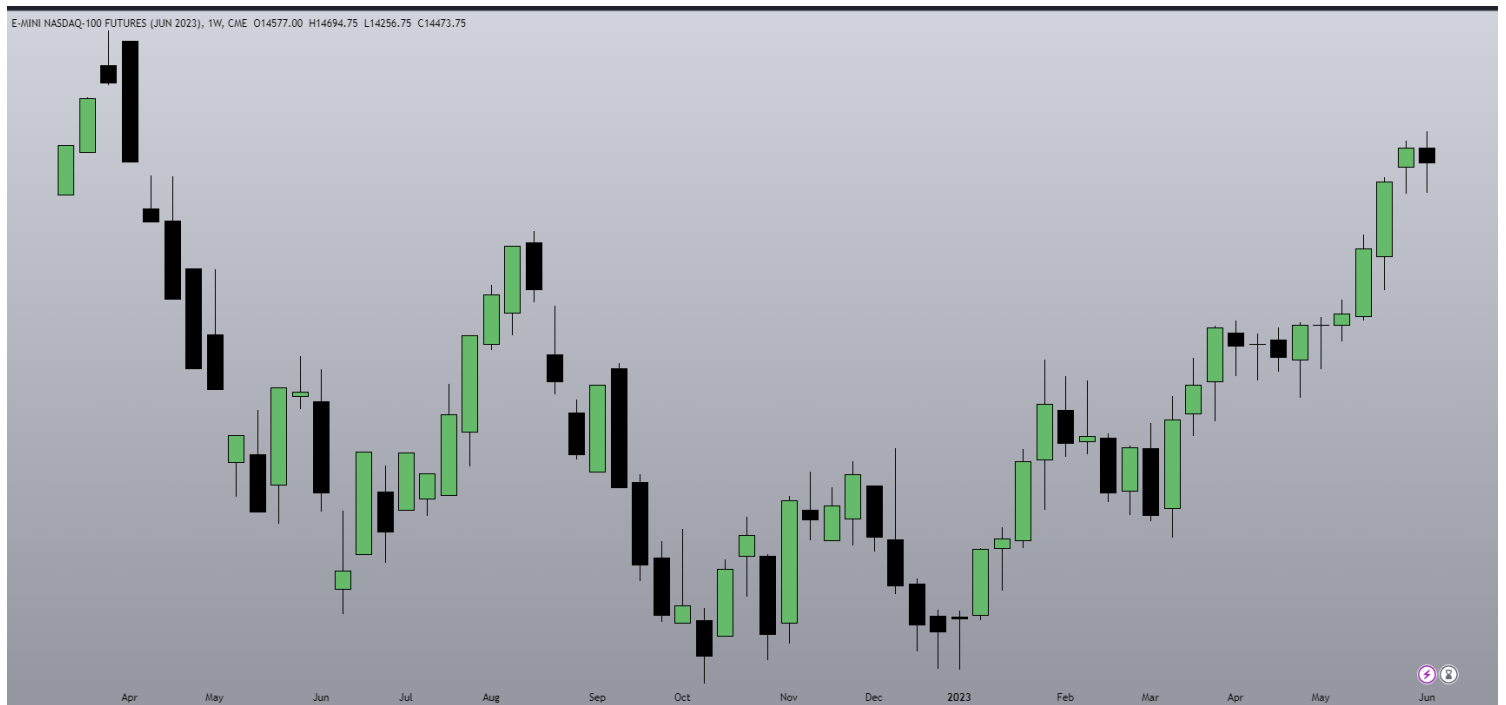
Identify the Volume Imbalances on the chart.



PD ARRAYS

TEST YOUR KNOWLEDGE:

Identify the Liquidity Voids on the chart.



LIQUIDITY RUNS

PRICE DOES TWO THINGS:

- 1) It moves towards inefficiency (imbalance/FVG) to offer both sides efficient delivery or
- 2) It runs for opposing side of liquidity to knock out profitable traders who trailed their Stoploss or had reason to get in the market

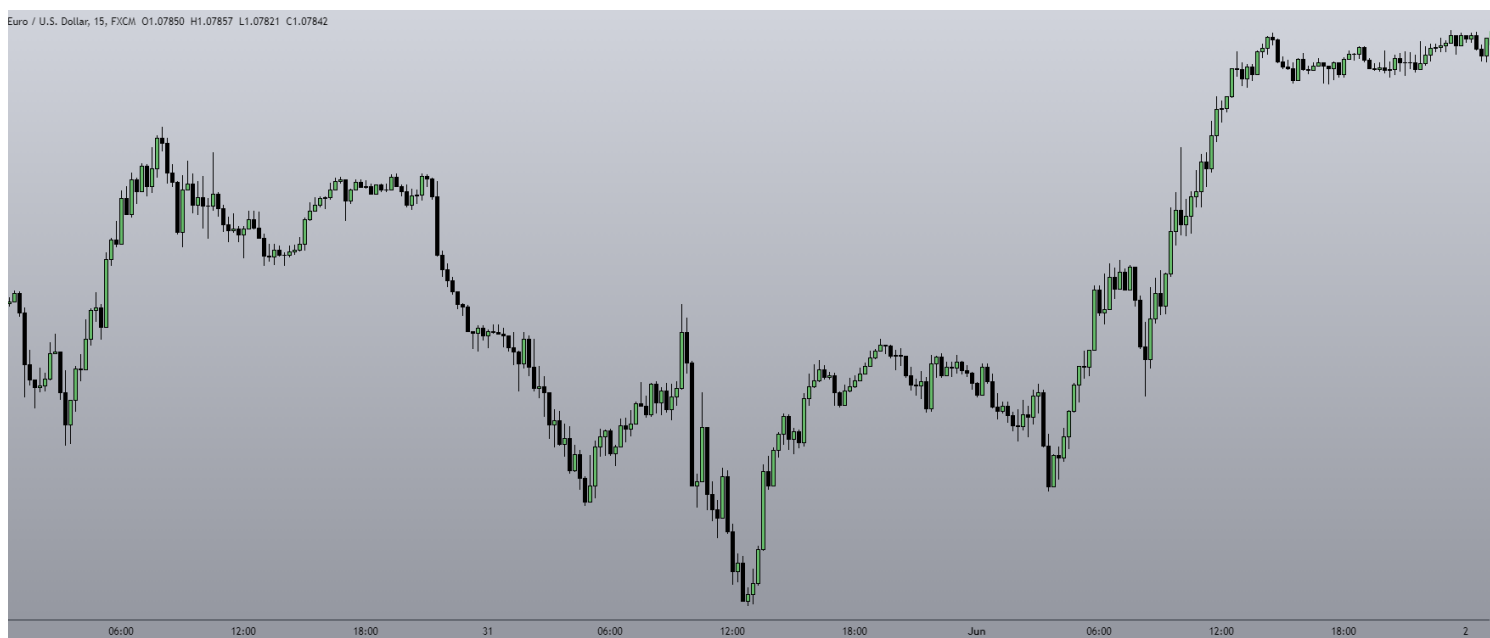
These are known as liquidity runs. They happen because smart money hunts institutions/traders who are protecting their positions with stops above/below old highs or lows. Smart money will buy/sell those triggered stops to get into the market and send price in the opposite direction.



LIQUIDITY RUNS

TEST YOUR KNOWLEDGE:

Identify the Liquidity Runs on the charts below.



IMPULSIVE SWINGS & PROTRACTION/RETRACTION

PROTRACTION

Fake move at specific times of the day (Judas Swing)

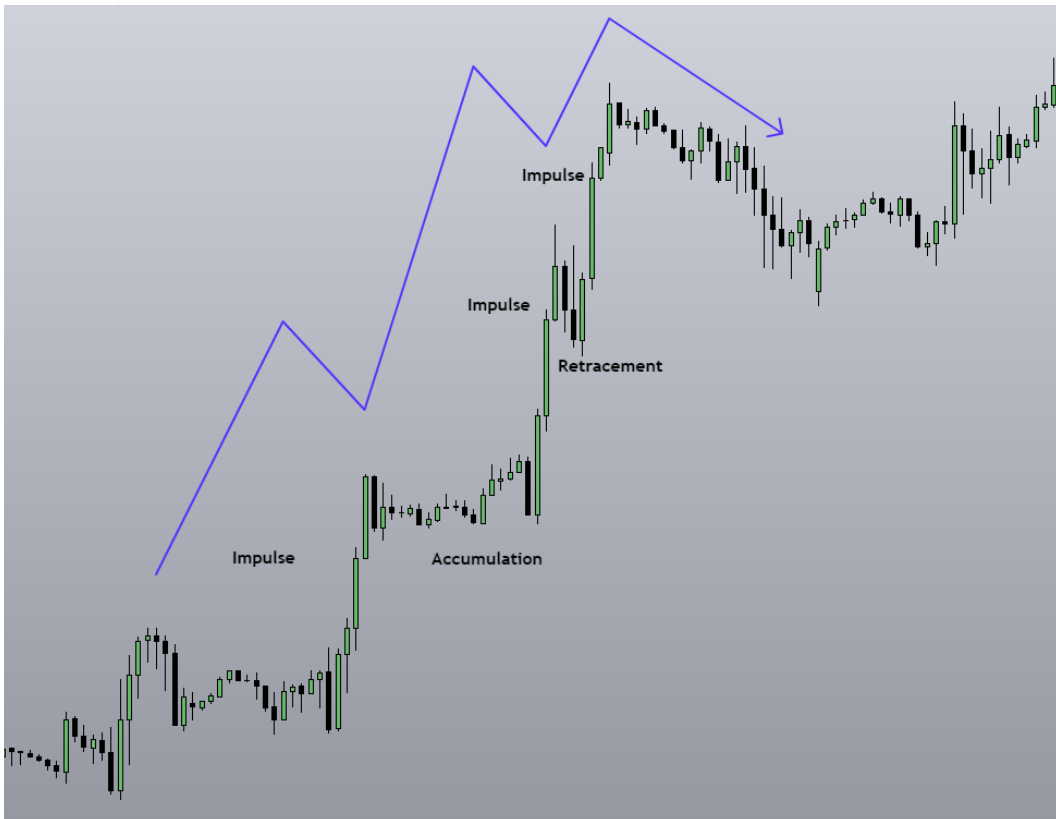
RETRACTION

Retracement

COMBO:

Impulse -> Retracement(retraction) -> Protraction -> Impulse

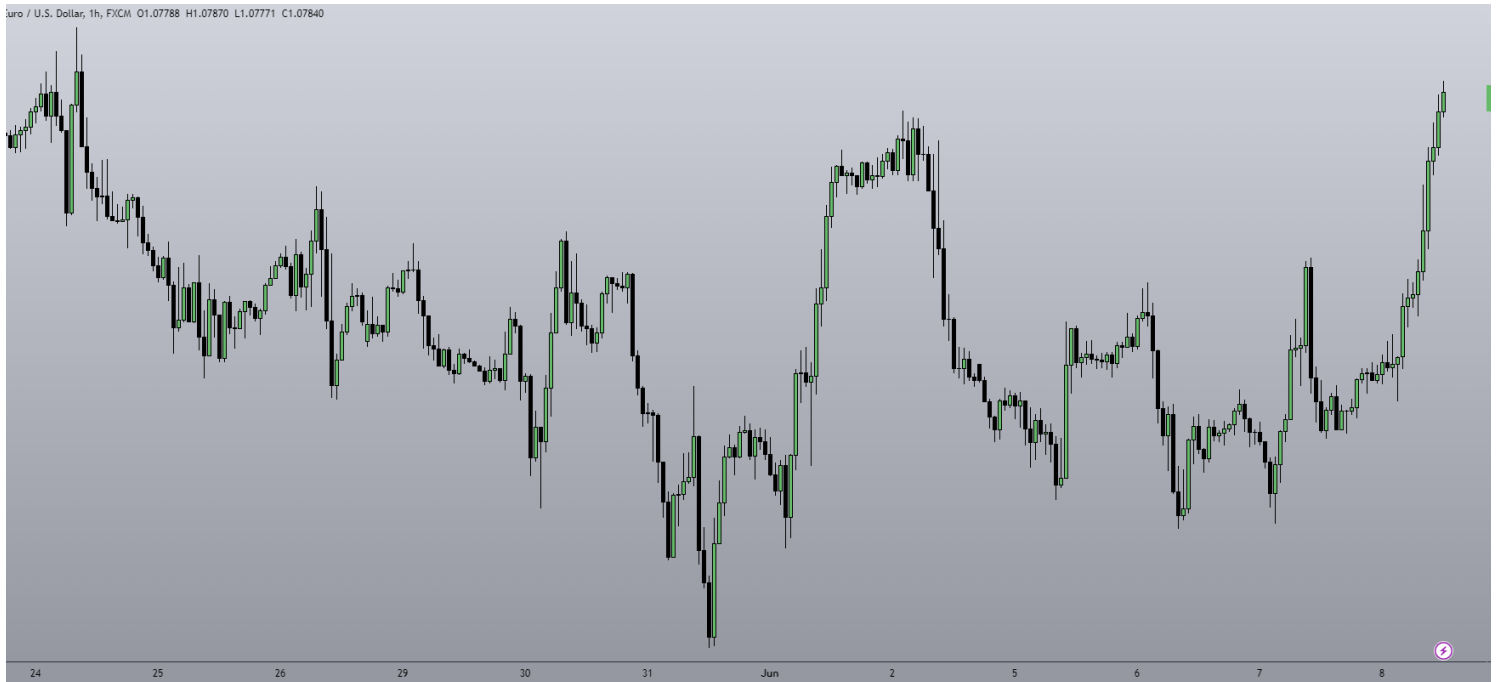
The difference between impulsive price swing and protraction is the time of day (London Open Judas swing, NY open Judas swing, Asian session Judas swing).



IMPULSIVE SWINGS & PROTRACTION/RETRACTION

TEST YOUR KNOWLEDGE:

Identify each of the phases on the chart below.



INSTITUTIONAL ORDER FLOW

INSTITUTIONAL ORDER FLOW

Institutional Order Flow is found on Weekly, Daily and 4H charts.

Lows being broken and highs left untouched means bearish Institutional Order Flow.

Highs being broken and lows left untouched shows us that Institutional Order Flow is bullish.



INSTITUTIONAL ORDER FLOW

EXAMPLE OF ORDER FLOW TIED TO PREMIUM VERSUS DISCOUNT AREA

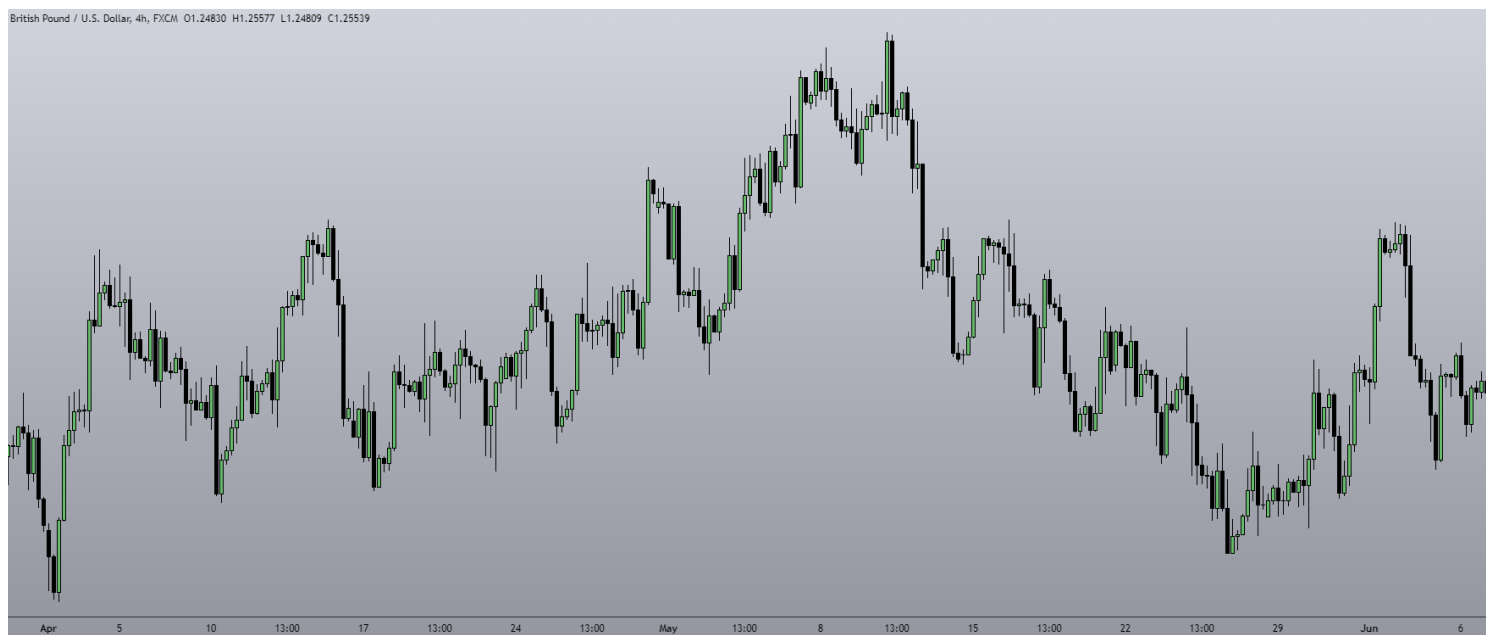


INSTITUTIONAL ORDER FLOW GIVES YOU WEEKLY BIAS, DAILY BIAS OR SHORT TERM BIAS FOR DAY TRADING. SIMILAR TO “REGULAR” MARKET STRUCTURE, BUT YOU CAN MAP OUT POSSIBLE RETRACEMENT AREAS WITH PREMIUM & DISCOUNT, LIQUIDITY AND PD ARRAYS LIKE FVG, BREAKER BLOCKS, AND ORDER BLOCKS. INSTITUTIONAL ORDER FLOW WILL SHOW WHAT SIDE OF THE MARKET PLACE WE SHOULD FOCUS ON AND HOW TO APPROACH CERTAIN CONDITIONS ON LOWER TIME FRAMES (HTF BEARISH, LTF BULLISH)

INSTITUTIONAL ORDER FLOW

TEST YOUR KNOWLEDGE:

Identify the Institutional Order Flow on the charts below.



ORDER BLOCKS

ORDER BLOCKS

Order Blocks are a change in the state of delivery, highly sensitive price points where price should not go past and should act as resistance or support for price.

Bullish Order Blocks: last down close candle(s) before energetic up move.

Bearish Order Blocks: last up close candle(s) before energetic down move.



ORDER BLOCKS

TEST YOUR KNOWLEDGE:

Identify the Order Blocks on the charts below.

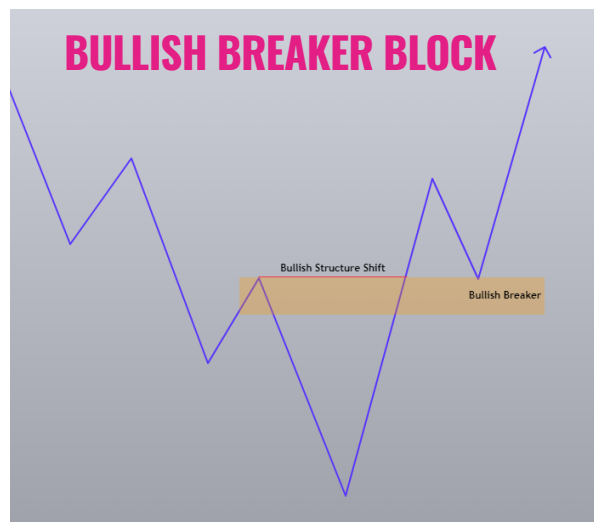
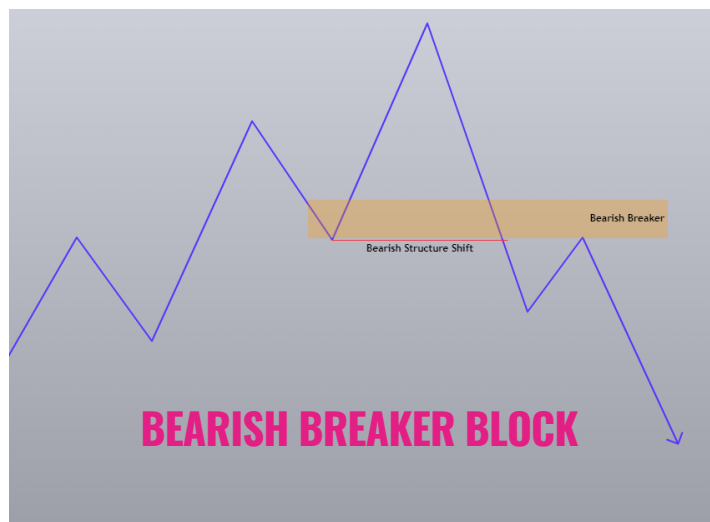


BREAKER BLOCKS

BREAKER BLOCKS

A Breaker Block is created when price retests the previous swing low or swing high after being broken to opposite side.

Instead of giving a general "retest" idea, breaker blocks give defined price levels where retracements should find "support or resistance".



Set of Bearish candles before the market structure shift.



BREAKER BLOCKS

TEST YOUR KNOWLEDGE:

Identify the Breaker Blocks on the charts below.



ICT KILLZONES

ICT KILLZONES

8:00 - 12:00PM - ASIAN RANGE KILLZONE

02:00 - 05:00AM - LONDON KILLZONE

07:00 - 10:00AM - NEW YORK KILLZONE

10:00 - 12 MIDDAY - LONDON CLOSE KILLZONE



ALL KILLZONES ARE IN
THE NY TIME ZONE

ASIAN RANGE KILLZONE



LONDON KILLZONE



LONDON CLOSE KILLZONE



NEW YORK KILLZONE



JUDAS SWING

JUDAS SWING

Fake move into the opposing side of liquidity to take out stops then continue in the intended HTF direction.

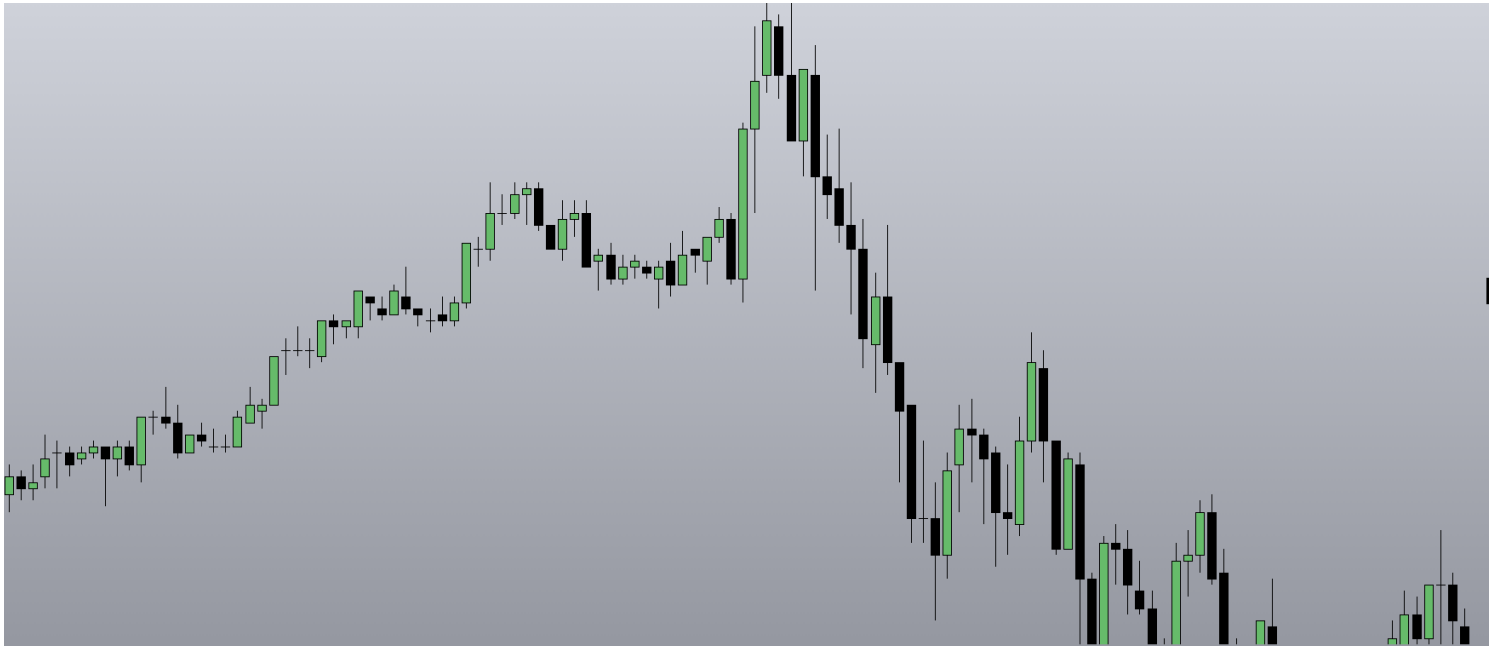


JUDAS SWINGS LOOK LIKE A LIQUIDITY SWEEP THAT RESULTS IN A REVERSAL IN PRICE'S CURRENT DIRECTION. TYPICALLY AN IMPULSIVE MOVE AFTER TAKING THINGS LIKE SESSION LIQUIDITY AND PREVIOUS HIGH/LOW. RESULTING IN PRICE RESUMING ITS INTENDED DIRECTION (HTF).

JUDAS SWING

TEST YOUR KNOWLEDGE:

Identify the Judas Swing, Reversal and Expansion of price in it's intended direction.



SILVER BULLET

SILVER BULLET

Silver Bullet setup is always a continuation setup to what is currently being shown by price action. Its intention is to give specific time of day to hunt for a continuation setup that focuses on fair value gap entry technique shown in images.



SILVER BULLET SETUP HAPPENS
EVERY DAY AT:
03:00-04:00 LONDON SESSION
10:00-11:00 NEW YORK SESSION
14:00-15:00 NEW YORK SESSION
CHART TIMES ARE IN NEW YORK TIME

LONDON SESSION SILVER BULLET



SILVER BULLET



SILVER BULLET

TEST YOUR KNOWLEDGE:

Identify the Silver Bullet setup in the charts below. Both setups are in the NY Morning Session.



ICT POWER OF THREE

ACCUMULATION, MANIPULATION, DISTRIBUTION

Accumulation - Typically Asian session acts as consolidation

Manipulation - London open price movement usually runs out Asian High or Low to take out liquidity. Then price starts moving in the opposite direction.

Distribution - Once the opposing side of liquidity is taken, price will continue in it's intended direction.

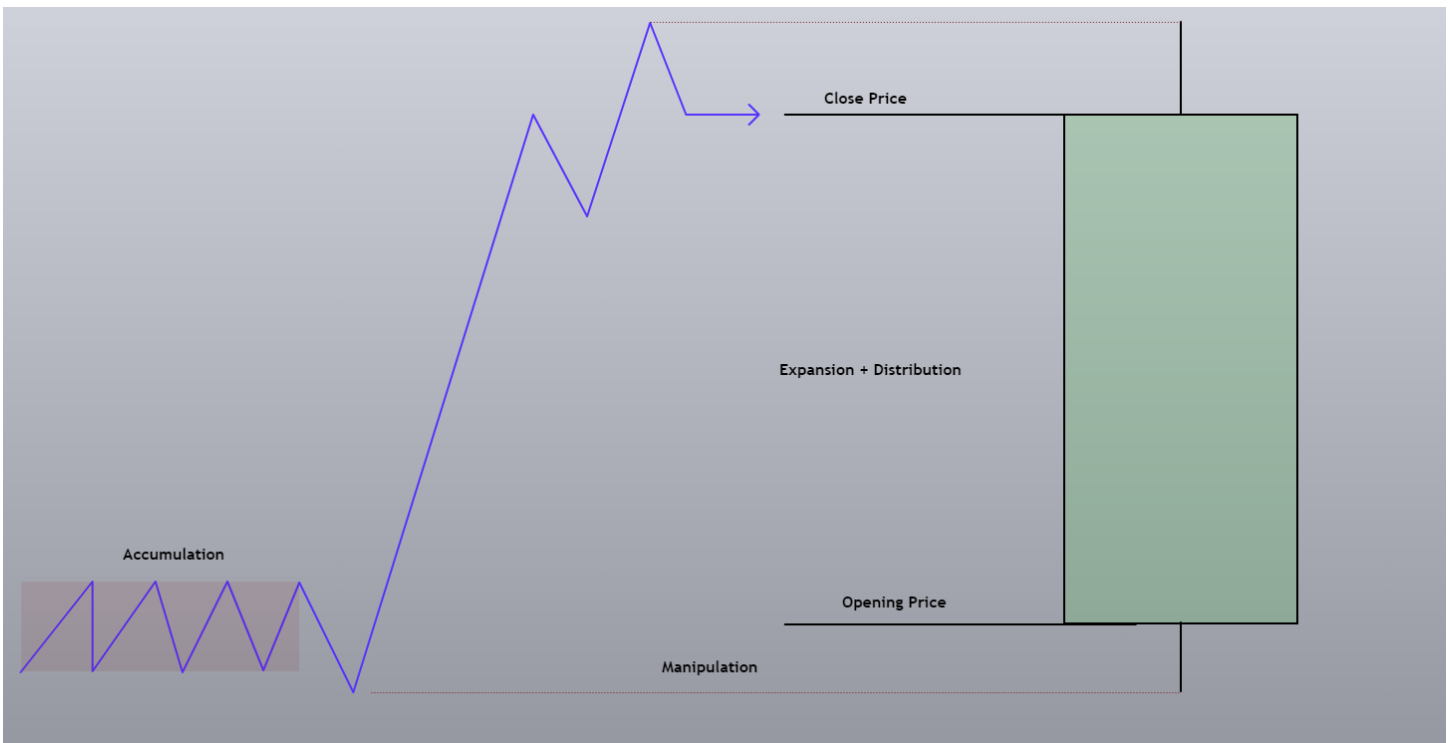
Note: NY session is typically a continuation of London session distribution, expect for a fairly common reversal at NY lunch time.



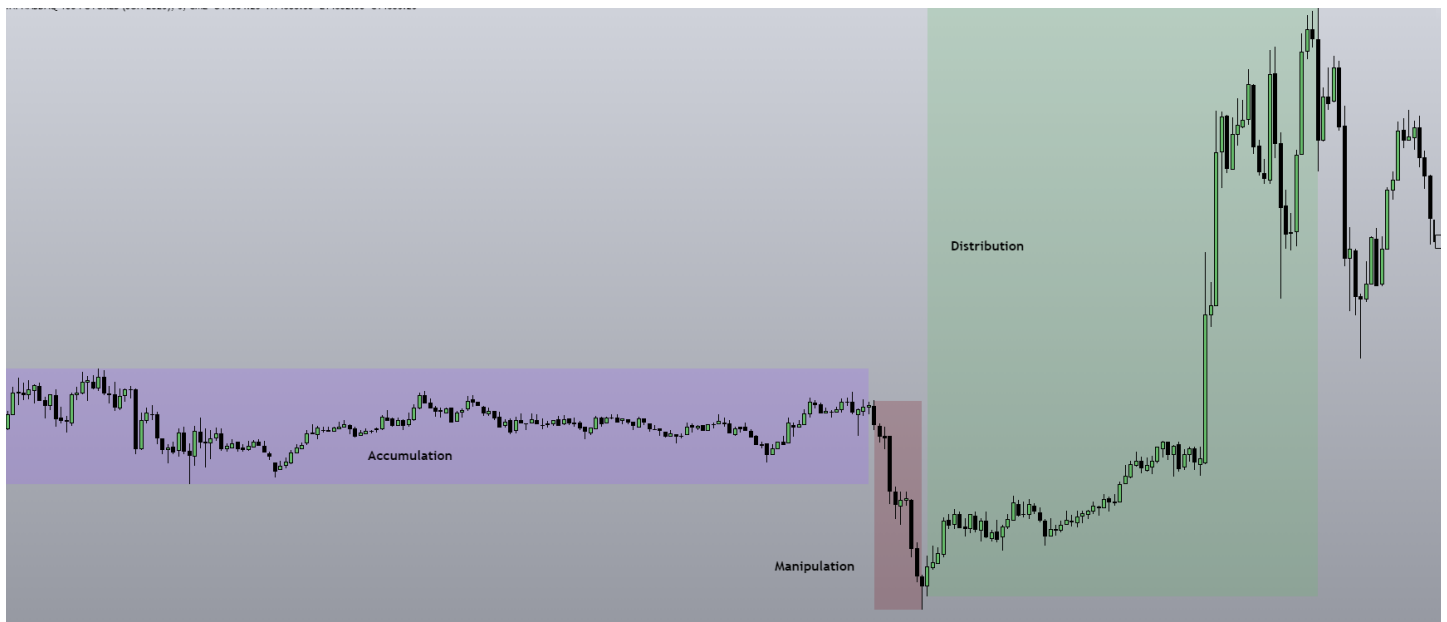
These concepts work in Forex, Indices and Commodities in every timeframe and in sessions.

ICT POWER OF THREE

P03 APPLIES TO THE FORMATION OF THE DAILY CANDLE



DAILY CANDLE RANGE - P03



ICT POWER OF THREE

TEST YOUR KNOWLEDGE:

Identify the Power of three elements in the chart below. Accumulation, Manipulation and Distribution



OPTIMAL TRADE ENTRY (OTE)

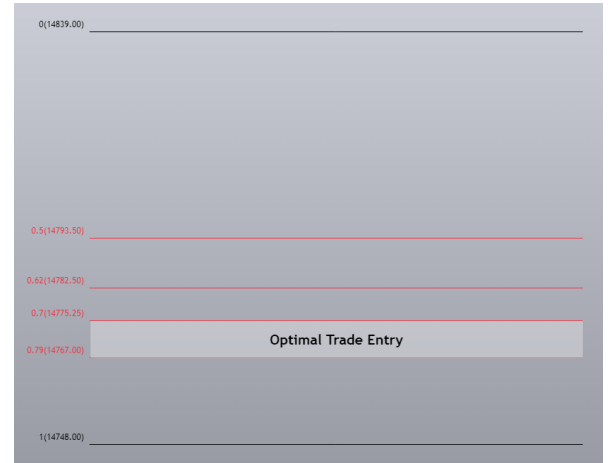
OPTIMAL TRADE ENTRY (OTE)

You can use the Fibonacci tool with retracement levels: 62% 70.5% 79% to identify an optimal location to enter a trade on retracement after an impulsive or expansive movement in price.

The ICT Optimal Trade Entry on a retracement is between 70.5% & 79%.

An OTE pattern is usually coupled with PD Arrays: Fair Value Gap, Breaker Block or Order Block

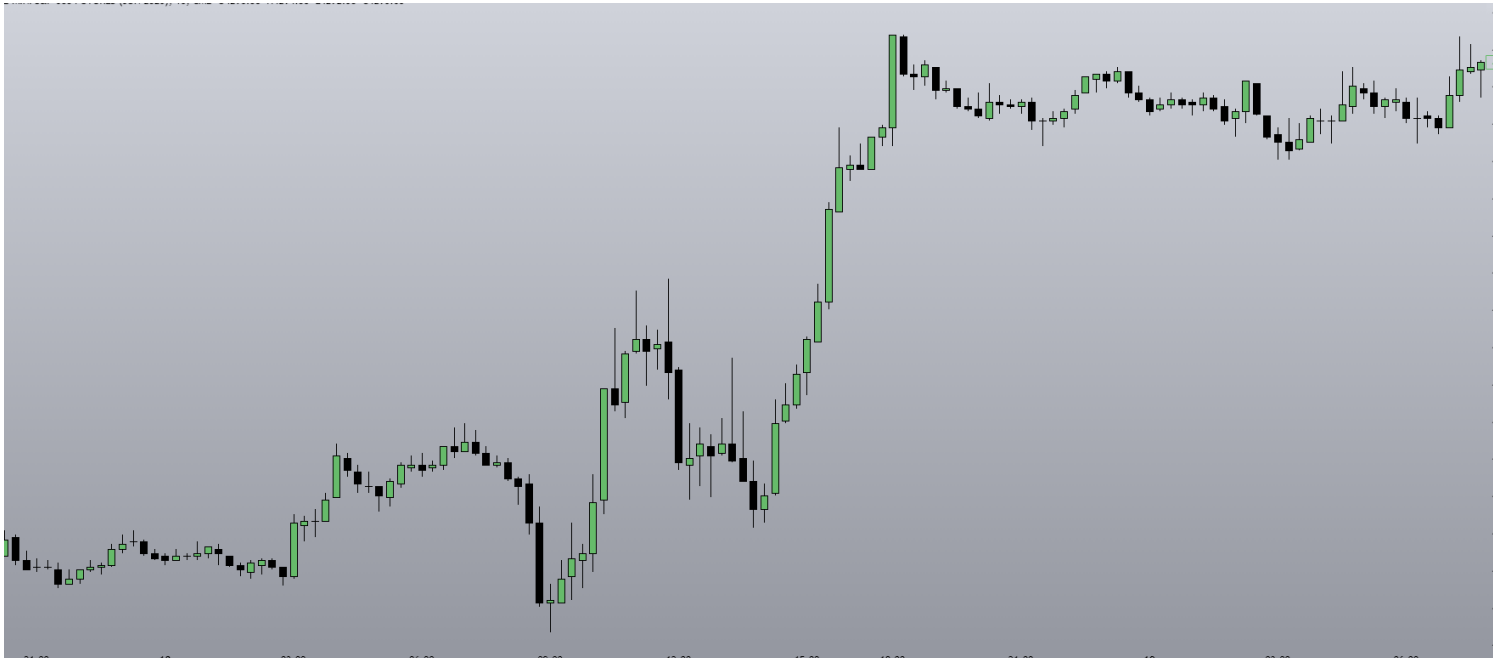
FIBONACCI TOOL SET FOR OTE



OPTIMAL TRADE ENTRY (OTE)

TEST YOUR KNOWLEDGE:

Identify the Optimal Trade Entry on the charts below.



SMART MONEY TECHNIQUE (SMT)

SMART MONEY TECHNIQUE (SMT)

A divergence between correlated assets because of market manipulation.

Both of these assets (e.g., NQ and ES) are symmetrical, meaning they move the same way. But sometimes we have manipulation and SMT shows a crack in the correlation. We take advantage of the divergence by trading the weaker asset that is lagging behind the price move. The one that didn't have liquidity taken (swept) on the last price move. You can trade it like a regular divergence.



CORRELATED ASSETS
INDICES TO EACH OTHER
ES (S&P500) - NQ (NASDAQ) - YM
(DOW JONES)
DXY (DOLLAR INDEX) TO INDICES &
CURRENCY PAIRS

SMART MONEY TECHNIQUE (SMT) NQ (NAS/US100) TO ES (S&P500/US500)



SMART MONEY TECHNIQUE (SMT)

NQ (NASDAQ) TO DOLLAR INDEX



Dollar higher indices lower - risk off
Dollar lower indices higher - risk on
This happens because dollar is the safe
currency of the world.

EURUSD TO DOLLAR INDEX

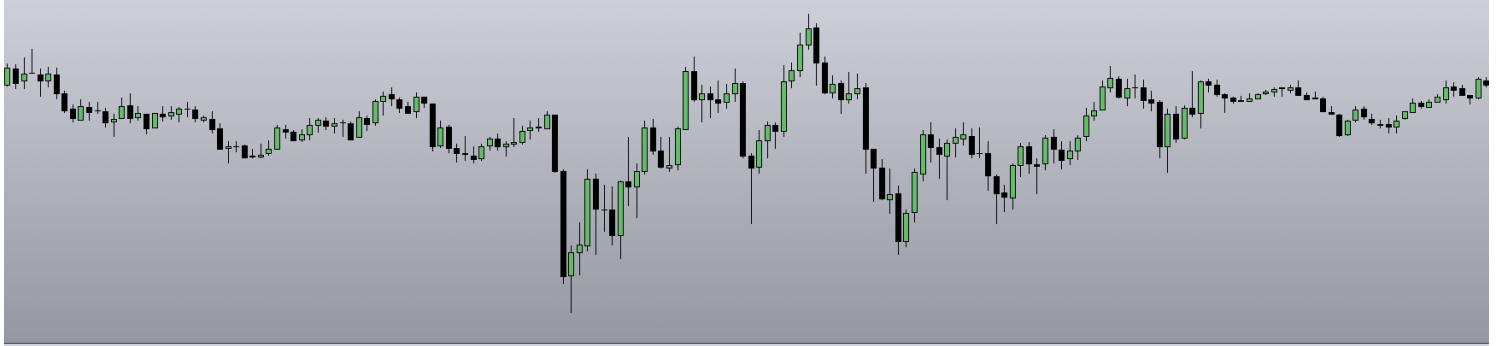


SMART MONEY TECHNIQUE (SMT)

TEST YOUR KNOWLEDGE:

Identify the SMT divergence(s) in the charts below.

E-MINI NASDAQ-100 FUTURES (JUN 2023), 5, CME O14460.00 H14463.25 L14448.00 C14451.00



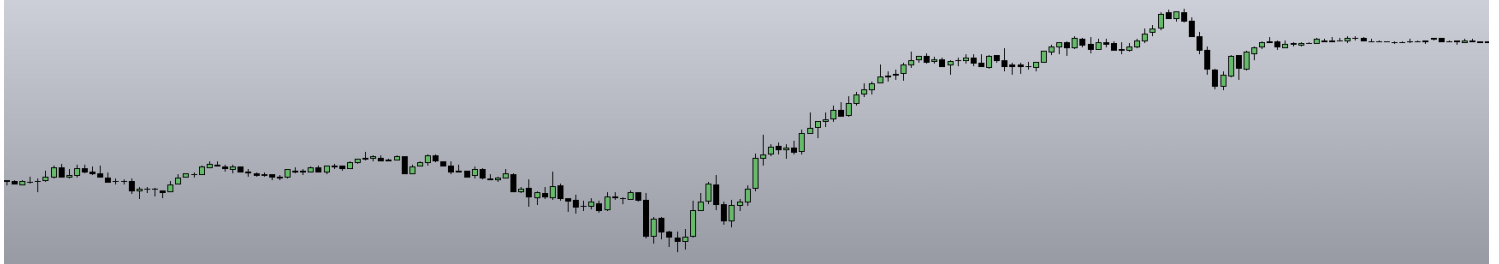
ESM2023, CME_MINI 4290.50 4291.25 4289.25 4289.75



E-MINI NASDAQ-100 FUTURES (JUN 2023), 5, CME O14460.00 H14463.25 L14449.75 C14452.25



ISM2023, CME_MINI 4290.50 4291.25 4289.50 4290.00



ICT ATM METHOD

ICT ATM METHOD

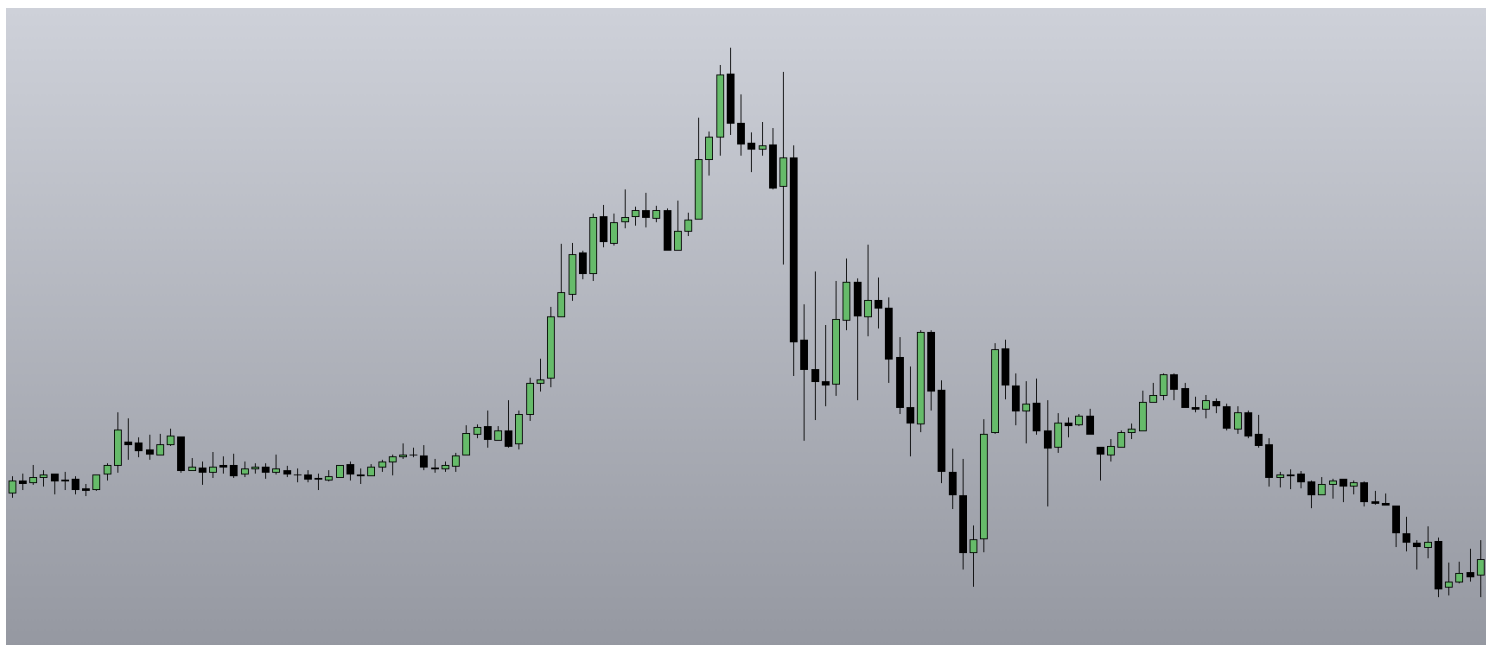
Price action pattern that can be found on any timeframe and focuses on trading liquidity. Wait for the swing high to form and take out buyside liquidity. Then sharp rejection breaking a swing low (market structure shift). Wait for price to trade back into FVG, Breaker Block, or Order Block and target 15m/1H low. Reverse for bullish scenario.



ICT ATM METHOD

TEST YOUR KNOWLEDGE:

Identify the ATM setup in the charts below.



HIGH PROBABILITY SETUPS

YOUR HIGHEST PROBABILITY TRADE SETUPS

1) TARGETS FOR REVERSALS AND RETRACEMENTS BEFORE RESUMING TREND
FROM THE DAILY AND 4H (HTF) OBJECTIVES:

- A) SESSION LIQUIDITY
- B) PREVIOUS DAY'S HIGH AND LOW (LIQUIDITY)
- C) HTF PD ARRAYS (FVG, VI, ETC)

2) FRAME TRADE IDEAS ON THE 15M CHART WITH POTENTIAL FOR REFINEMENT
TO 1M ENTRY

3) USE TIME & PRICE/TIME OF DAY TO INCREASE TRADE QUALITY/PROBABILITY

- A) KILLZONES
- B) SILVER BULLET SETUPS

4) HTF NARRATIVE (HTF ORDER FLOW) - MARKET STRUCTURE

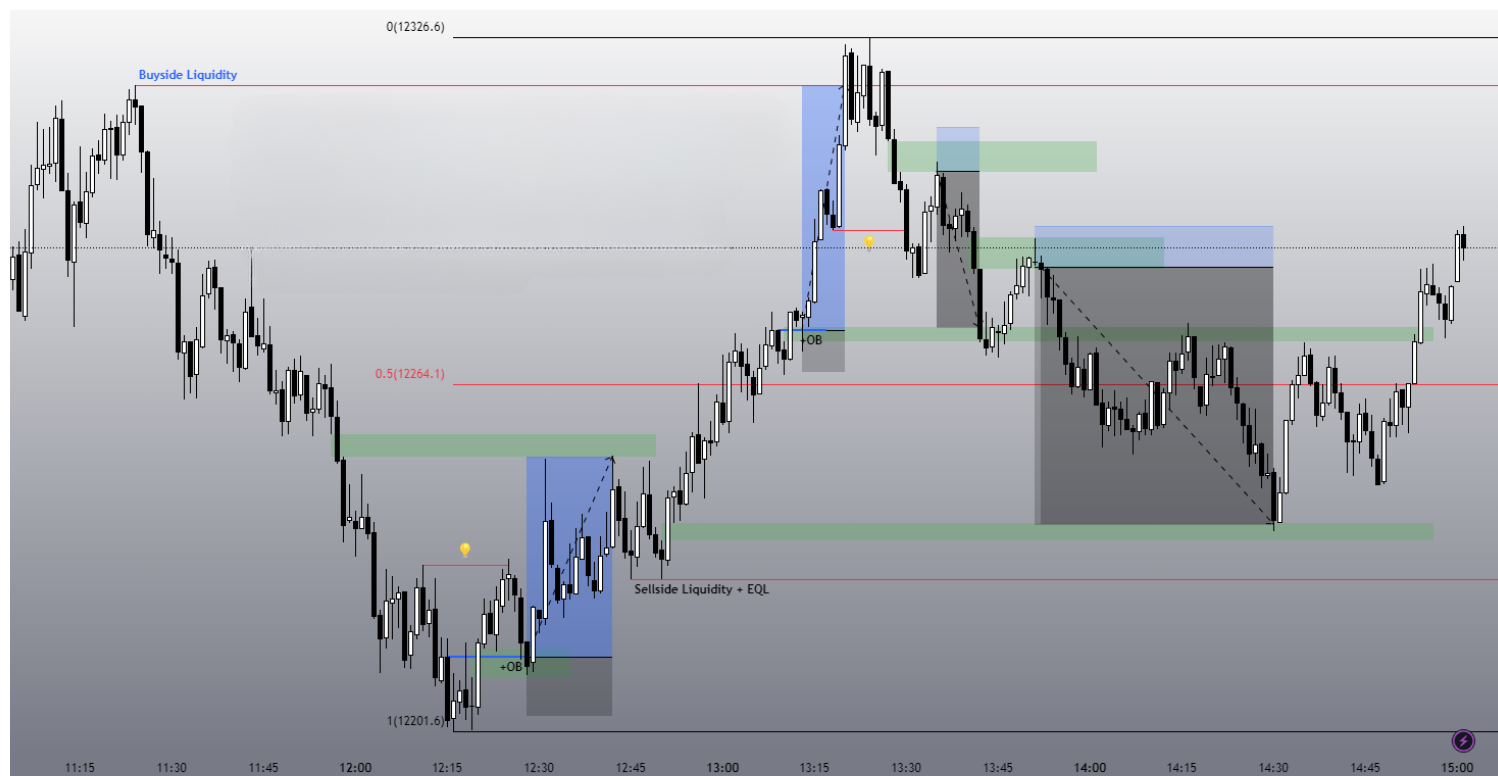
5) STACK CONJUNCTIONS WITH MULTI-TIMEFRAME NARRATIVE



PULLING IT ALL TOGETHER

IT'S A WRAP

All of these concepts can be pulled together to help you understand the market's movements and identify high probability trade setups. Understanding where the market is moving, entry criteria and locations to target for take profit.



High probability trade setup on 1M chart based off the 1H external range liquidity. New York Lunch hour into New York PM session. Trading to 1H Buyside Liquidity and 1H retracement.

1. Market structure shift with small impulsive price swing leaving behind a bullish Order Block and FVG - target sellside FVG left by impulsive bearish move.
2. Still room for price to move into external range buyside liquidity, same entry technique.
3. Quick impulsive price swing after taking the buyside liquidity. After market structure shift, wait for price to come into short-term premium (relative to the price swing), enter from FVG targeting FVG.
4. Same as the third trade, playing the trade as an continuation to the orderflow.

EXAMPLE 2



PULLING IT ALL TOGETHER

EXAMPLE 3



Daily chart returning to FVG

DXY moving lower, ES expected to move higher

NY Open runs out sell stops and price rallies

Just after 10AM NY Time price returns to 15m FVG and impulsively moves bullish

Leaves a 5m breakaway gap that staying unfilled adds more confluence to continued bullish move

After new high, look for entry on retracement to the 1m bullish FVG left near 50% Fib

Targeting the Daily FVG in red

PULLING IT ALL TOGETHER

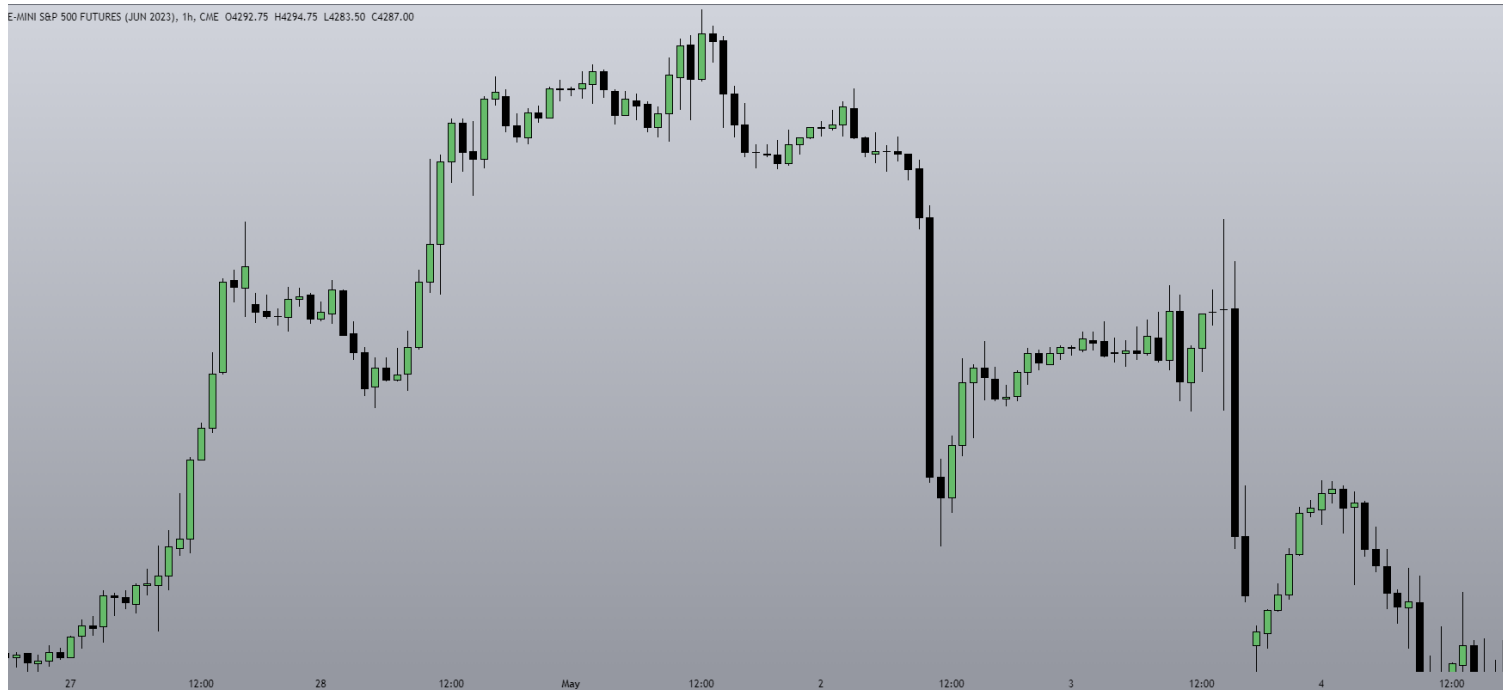
TEST YOUR KNOWLEDGE:

Use the concepts in this workbook on the charts below to find quality trade setups.

E-MINI S&P 500 FUTURES (JUN 2023), 1, CME O4287.50 H4287.75 L4286.50 C4286.75



E-MINI S&P 500 FUTURES (JUN 2023), 1h, CME O4292.75 H4294.75 L4283.50 C4287.00



NOTES

This image shows a full page of white paper with horizontal grey ruling lines. The lines are evenly spaced and run across the width of the page. There is no handwriting or other markings on the paper.

NOTES

[illegible]